

Are you legally protected?

The Costa Rica Real Estate Preliminary Legal Checklist for Foreign Buyers and Investors.

A GM Attorneys self-assessment for buyers and investors

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Every week, buyers walk away from a Costa Rican closing feeling accomplished. But closing and being protected are two different questions. One answers, “Did we close?” The other answers, “Are we protected?”

Use this checklist to see how many of these you can honestly check off — before your closing, or after it.

1. Your Ownership Structure

- I know whether my property is held in my personal name, or under a CR legal entity: an S.A. (Sociedad Anónima), or an S.R.L. (Sociedad de Responsabilidad Limitada) — and why that legal structure was chosen.
- If it's in my personal name: I understand this exposes my personal assets to any liability tied to the property, and limited estate planning as a non-resident.
- If it's an S.A.: I understand it functions like a US C corporation, with transferable shares — a common vehicle for an active company making many transactions and for holding multiple assets.
- If it's an S.R.L.: I understand it is closer to an US LLC, offering liability protection with a more flexible governance structure and generally a lower administrative burden.
- I understand that this choice shapes four essential aspects for the life of my investment: liability protection, estate planning, financing options, and future resale.

2. Due Diligence

- A title study has reviewed the property's registral file and chain of ownership, and confirmed there are no undisclosed liens, mortgages, usufructs, easements, or court-ordered annotations.
- The cadastral plot (plano catastrado) has been confirmed to match the property's registration number (folio real) in measurements, boundaries, location, and reality onsite.
- Property taxes are current and paid in full up to closing date or further. There is no outstanding balance with the water, electric and any other utility, and the land-use or zoning certificate (certificado de uso de suelo) confirms my intended use or development is legally permitted.
- If the property is within or near the Zona Marítimo Terrestre (Maritime Zone), I've confirmed whether it is titled property (fee simple) or a government-granted concession – and if it's a concession, that my residency status as permanent legal resident for over five years or more holding a DIMEX id and any corporate ownership structure (no more than forty nine percent foreign-held capital) meet the legal and mandatory requirements.
- I purchased within a gated community or private estate and what regulations applied for each one and associated monthly or yearly costs.

3. A Strategy Built Around Me, Not Just the Property.

Two buyers can purchase similar homes and still need entirely different legal strategies. Ask yourself:

- I've thought through how I will use this property – as a residence, a seasonal rental, or for future resale – and does my structure supports that?
- I've considered whether I have tax implications in more than one country? I know the "Tax resident regulation" that applies, even as tourist, if you spend more than 183 days per year in Costa Rica?
- This property fits into a long-term estate plan, not just today's transaction?
- Are any family members or business partners involved in this purchase reflected in the ownership structure?

If You Couldn't Check Every Box, what that means?

That's common – these are exactly the questions a standard buyer closing doesn't ask. Many of the most difficult situations buyers face later do not come from wrongdoing, but from decisions made without enough strategic foresight at the outset: properties titled in ways that complicate inheritance, corporations created without governance rules, joint purchases with no clear exit mechanism, or rental properties without adequate liability protection. These issues rarely appear at the moment of purchase – they surface later, when life evolves, and the structure does not.